

Olist Brazilian E-Commerce

(Business Insight Report)

Context

I have analysed data from Olist, a Brazilian e-commerce dataset comprising 8 tables, with most of them containing 100,000+ rows.

Tools Used

- Excel
- MySQL Workbench

Findings

1. Revenue Concentration: The top 3 products that hold the highest revenue create 41% of the total revenue, whereas the quantity sold is only 37%, which shows that there is a high revenue concentration risk.
2. Cancellation Pattern: Looking at the two years of data, I can clearly see that there has been an increase in the cancellation rate from 2017 to 2018. Also, the highest cancellation was in September 2018 (84), which is more than 3x the average cancellation rate (25).
3. Customers in AP wait an average of 46 days for delivery vs. 19 days in SP —a 27-day gap that directly impacts repeat purchase rate.

Recommendation

1. Olist needs to shift the focus from the top 3 product categories to other categories as well, as the revenue generation is very concentrated. Olist should start by focusing first on any two products and increasing the revenue while maintaining the top 3 revenue levels.
2. The company should focus on maintaining the delivery time to a maximum of 30 days to increase the repeat purchasing rate.

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